HCH 3180/25 : Setting aside of arbitral award

ZIMBABWE POSTS (PVT) LIMITED

Versus

REGAL INSURANCE (PVT) LIMITED

And

VIRGINIA MUDIMU N.O

HCH 1789 /25 : Registration of arbitral award

REGAL INSURANCE (PVT) LIMITED

Versus

ZIMPOSTS (PVT) LIMITED

HIGH COURT OF ZIMBABWE

CHIRAWU-MUGOMBA J

Harare, 27 January, 5 and 6 February 2026.

P.DUBE for the applicant in HCH 3180/25 and respondent in *HCH 1789/25*

T. NYAMUCHERERA, for the 1ST respondent in HCH 3180/25 and applicant in HCH 1789/25

CHAMBER APPLICATION FOR REGISTRATION OF AN ARBITRAL AWARD AND COURT APPLICATION FOR THE SETTING ASIDE OF THE AWARD

CHIRAWU-MUGOMBA J: The somehow seemingly confused state of affairs in this matter as depicted by the citing of the cases and the representation by the legal practitioners emanates from the fact that in HCH 1789/25, the applicant seeks the registration of an arbitral award. In HCH 3150/25, after a long delay, an application for the setting aside of the same award was sought. The easiest manner of proceeding was simply to have filed a counter application under the same case

number HCH 1789/25 instead of a new application. Then as expected the usual request that the matters be 'heard' together by the same Judge came in. Nonetheless, at the hearing, I saw it prudent to deal with HCH 3180/25, which is the application for the setting aside of the award.

The application for setting aside of the award HCH 3180/25

The applicant seeks that the arbitral award of the 4th of February 2025 be set aside in terms of Article 34 of the UNCITRAL Model Law in the schedule to the Arbitration Act [Chapter *7:15*]. The ground for the setting aside is that the award is contrary to the public policy of Zimbabwe in that it is not only patently wrong in law but is illogical if not unreasonable. That the award goes beyond mere faultiness or incorrectness and constitutes a palpable inequity that is so far reaching and is outrageous in its defiance of logic that a sensible and fair-minded person would consider that the notion of justice in Zimbabwe would be intolerably hurt by it. By way of background, the applicant locates the roots of the dispute that led to arbitration in a lease agreement between the parties dated the 23rd of March 2016 and a commercial agreement dated the 28th of April 2016. The lease saw the first respondent take occupation of the applicants' premises across Zimbabwe for consideration whilst the commercial agreement entitled the first respondent to sell vehicle licenses and insurance. In terms of the commercial agreement, the first respondent would pay the applicant 15% commission. The matter placed before the arbitrator concerned an alleged breach by the applicant and damages for loss of business in the sum of USD 3, 600,000 which claim was rejected by the applicant.

In addition to the statement of claim and defence, the issues as put before the arbitrator were as follows:

a. Whether there was a tacit relocation of the commercial agreement?

b. Whether the respondent breached the commercial agreement ?

c. If so whether the claimant is entitled to reimbursement of commission paid by it to the respondent in the sum of USD $502 747?

Starting with issue two, the arbitrator found that the first respondent breached the commercial agreement by failing to perform its obligation to enable the claimant (first respondent) to connect and sell motor vehicle licenses and motor vehicle radio licences. On the first issue, she found that there was no tacit relocation of the commercial agreement after it expired by effluxion of time on the 31st of march 2017. On reimbursement, the arbitrator found that the claim for the commission paid during the subsistence of the commercial agreement from the 1st of April 2016 to 31 March 2017 could not succeed. This was due to the fact that the claimant had not raised the issue of breach and the agreement continued to subsist until it expiry on the 31st of March 2017. Post this date, the arbitrator found that there was no reason for the respondent to continue benefitting from the commercial agreement after its expiry and that this constituted unjust enrichment. Further that the respondent should reimburse the claimant for the period April 2017 to April 2018. After assessing the documents submitted by the parties, the arbitrator ordered reimbursement in the sum of US$118 532.74. The final award reads:-

1. The respondent shall pay the sum of USD 118, 532. 74 to the claimant or the equivalent amount therefore in ZWG, at the official Reserve bank of Zimbabwe rate, being the reimbursement of the commission it received from the claimant for the period April 2017 to April 2018.

2. The respondent shall pay interest on the above-mentioned sum of US$ 118 532.74 or the equivalent amount thereof in Zimbabwe Gold currency at the prescribed rate from 1st March 2023, being the date of commencement of arbitral proceedings, to date of payment in full.

3. Each party shall pay its own legal costs,

4. The claimant and the respondent shall pay the arbitrator's fees and costs in equal shares. Should one party pay the other party's portion of the arbitrator's fees and costs, then such party shall be entitled to recover the amount of such fees and costs from the other party.

This is the award that the applicant avers is contrary to public policy. In explaining the public policy principle, the applicant avers that it is not open for courts to re-write a contract entered into between the parties or to excuse any of them from the consequences of the contract that they have freely and voluntarily entered into. That it was never in dispute that the first respondent sold insurance from the applicant's premises during the period April 2016 to March 2018. As a result, it paid 15% commission on the actual sales. The agreement between the parties did not have a reimbursement clause. The arbitrator, by ordering restitution of an amount earned, re-wrote the contract between the parties.

In opposing the application, the respondent makes the following averments. In *limine* that the deponent to the applicant's founding affidavit does not traverse authority due to lack of a resolution. I hasten to add that these points were not persisted with at the hearing. On the merits, the following averments are made. That the application does not meet the requirements set out in Article 34. The award is not contrary to public policy and the standard for setting aside on that ground is very high. An award will not be set aside on the grounds that the respondent disagrees with it or that they disagree with the reasoning or outcome. The applicant merely refers to the ground of public policy without explaining what actions constitutes such. The applicant is not being candid by not addressing the issue of unjust enrichment and in the statement of defence, they do not dispute this fact. Contrary to the assertion of the applicant, the arbitrator did not re-write the contract. The findings made by the applicant are correct. In essence, the averments by the applicant constitute a re-hearing of the matter.

Nothing much turns on the answering affidavit.

I now turn to the heads of argument and submissions by the parties. *Per* the applicant, the test of what constitutes public policy has been set in the oft-cited and leading authority of *ZESA vs Maposa,* 1999 (2) ZLR 452(S). The public policy defence is narrowly construed- see *Delta Operations vs Origen Corp (pvt) limited,* 2007 (2) ZLR 81(S) at 85 C-D, *Provincial Superior Jesuit Province of Zimbabwe vs KAMOTO and ors,* 2007(2) ZLR 8(S) and *Decimel Investments (pvt) Limited v*

Arundel Village (pvt) Limited and anor, 2012(1) ZLR 581(H) . The award militates against the principle of sanctity of contract. It was never in dispute that the first respondent sold insurance on applicant's premises during the period April 2016 to March 2018. In recognition of the subsisting agreement between the parties, it paid an amount equivalent to 15% commission of those actual sales. The amount was therefore due to the applicant as long as first respondent continued to sell insurance on the applicant's premises and used its facilities. Even though the commercial agreement had expired, the conduct of the parties points to tacit relocation. The issue of re-writing a contract for parties is a public policy one – *Magodora and ors v Care International,* SC-24-14. See also *Ballantyne Butchery (pvt) Limited T/ A Danmeats vs Chisvinga and ors,* SC 06-15 and *Shurugwi Town Council vs UNKI Mines (pvt) Limited,* HB-177-23. At the hearing, Mr *Dube* emphasised the issue of reimbursement in the award by the arbitrator and that the parties never contemplated this and further that the arbitrator re-wrote the contract for the parties.

The first respondent in the heads of argument submit as follows. The Supreme Court dealt with an attempt to set aside an arbitral award in *Clovergate Elevator Company vs Justice Mtshiya and anor,* SC 104-24. That unlike a judgment, an arbitral award is meant to be final and unappealable. An award is said to be contrary to public policy if it will make justice turn on its head- *Pamire and ors versus N.O and anor,* 2001 (1) ZLR 123(H) as well as the *ZESA vs Maposa* decision (*supra).* A court dealing with an application for setting aside an award need not evaluate the merits or correctness of the award – *Peruke Inv(pvt) Limited* vs Willoughby's Inv (pvt) Ltd – SC 208-14. The applicant has failed to meet the requirements for the setting aside of the award. At the hearing Mr. *Nyamucherera* submitted that what the applicant is essentially seeking is a re-hearing of the matter. Reimbursement was part of the issues put before the arbitrator for determination. The court is not sitting as an appellate court. As postulated in the *Pamire* case, the test for public policy is whether justice will turn on its head.

Article 34 deals with the setting aside of an arbitral award as follows.

"ARTICLE 34

Application for setting aside as exclusive recourse against arbitral award

(1) **Recourse to a court <u>against an arbitral award</u> may be made only by an application for setting aside in accordance with paragraphs (2) and (3) of this article.**

(2) An arbitral **award** may be set aside by the *High Court* only if—

or

[Subparagraph amended by Act 14/2002]

(*b*) the *High Court* finds, that—

(i) ……..or

(ii)**the award** is in conflict with the public policy of *Zimbabwe*.

Faced with the above, the question before the court is whether or not the award is contrary to public policy? Is it so outrageous that it constitutes a palpable inequity? I pause here and make reference to *Riogold (pvt) Ltd vs. Falcon Gold Zimbabwe and anor,* SC-7-23, in which the Supreme Court held as follows,

> "According to Article 34 (2) (b) (ii) of the Arbitration Act, the High Court can set aside an arbitral award if it finds that the award is in conflict with the public policy of Zimbabwe. This is the ground upon which the appellant relies on to have the arbitral award set aside.
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> The *locus classicus* on the subject is the case of *Zimbabwe Electricity Supply authority v Maposa* 1999 (2) ZLR 452 (S) at 465 D-E wherein GUBBAY CJ provided an exposition of the law on the approach to be adopted by a court in determining whether an arbitral award is in conflict with the public policy of Zimbabwe as follows:
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> "In my opinion, the approach to be adopted is to construe the public policy defence, as being applicable to either a foreign or domestic award, restrictively in order to preserve and recognise the basic objective of finality in all arbitrations, and to hold such defence applicable only if some fundamental principle of the law or morality or justice is violated."
>
> Further in the same case at 466 E –G, the Chief Justice stated as follows:
> "An arbitral award will not be contrary to public policy merely because the reasoning or conclusions of the arbitrator are wrong in fact or in law. In such a situation the court would not be justified in setting the award aside. Under Article 34 or 36 the court does not exercise an appeal power and either uphold or set aside or decline to recognise and enforce an award by having regard to what it considers should have been the correct decision. Where, however, the reasoning or conclusion in an award goes beyond mere faultiness or correctness and constitutes a palpable inequity that is so far reaching and outrageous in its defiance of logic or acceptable moral standards that a sensible and fair - minded person would consider that the conception of justice in Zimbabwe would be intolerably hurt by the award, then it would be contrary to public policy to uphold it.

The major contention of the applicant is that the arbitrator re-wrote the contract for the parties and also dealt with the issue of reimbursement and yet the contract of the parties did not have such a provision. In my view, the applicant's contentions have no merit. An arbitrator does not act in isolation but makes an award on clearly identified issues. In *casu,* I have already articulated the issues put before the arbitrator that required her to analyse the facts and the applicable law. She could not have dealt with breach without analysing the lease and commercial lease put before

her. How she is then said to have re-written the contract is baffling. It is a matter of fact that one of the issues put before her is that of reimbursement. It is especially insincere of the applicant to single out this issue as if the arbitrator went on a frolic of her own. Had she not dealt with the issue, she would have been accused of not dealing with issues before her. Her terms of reference were clear and unequivocal. Whether she was right or wrong, it is trite that an arbitrator has a right to be wrong unless her decision turns justice on its head, unless the whole judicial system would shake and quake because of the award made. In my view, the award does not induce any shaking or quaking. It is one made by the arbitrator who had the benefit of reading all submissions put before her. She analysed the issues meticulously including the lease and commercial agreements. She made factual findings and applied the law to the facts. Who are we then as the High Court to put ourselves back into her shoes and re-litigate? I am fortified by the words of the Supreme Court in the *Clovergate Elevator* case as follows,

> "A misapprehension of the distinction between a judgment and an arbitral award often leads legal practitioners and judicial officers to misapply legal principles for upsetting a judgment to an arbitral award. This is untenable because a good number of the basis upon which a judgment may be upset by a higher court either on appeal or review are inapplicable to arbitral awards".

I agree with the submissions by Mr. *Nyamucherera* that the High Court should not be turned into a court of appeal in arbitration this matter. Once parties submit to arbitration, they lose the right to appeal. I cannot express this any better than the Supreme Court again in the *Clovergate Elevator* matter as follows,

> "The law on challenging the correctness or otherwise of a voluntary arbitral award is often misunderstood and misapplied by most litigants and legal practitioners. They tend to confuse an arbitral award with a Court judgment. An arbitral award is simply not a judgment. Although they both settle legal disputes, they are diametrically and materially different. The major difference is that there is greater judicial discretion when enforcing a judgment than when dealing with an arbitral award. Judicial intervention is severely limited by statute when dealing with arbitral awards".

Accordingly, in my view, the application for setting aside of the award is not merited and is dismissed. It is an appeal through the backdoor. Using the court's discretion, I will order that costs be on the ordinary scale. I now turn to the application for registration of the award.

HCH 1789/25 : Application for registration of the award

The applicant filed a chamber application for the registration of the award of the 4th of February 2025 granted in its favour after an arbitration process. Applicant also seeks costs on an attorney-client scale. Contents of the award have already been captured in HCH 3180/25. The award has not been fulfilled and applicant seeks its registration for purposes of enforcement. In addition, the applicant seeks payment of half of the sum paid to the arbitrator since it paid in full after the respondent failed to pay its share. In its opposing affidavit, the respondent avers that the deponent to the founding affidavit does not show authority and that the application should be stayed pending the determination of the application to set it aside. In the answering affidavit, the applicant also avers that there is no valid notice of opposition because the deponent has not provided the court with the authority to act. The applicant further attaches the relevant authority for the deponent to act. Further that despite claims by the respondent , there is no application to set aside the award filed of record. These issues need not detain the court. The application to set aside the award was later filed under HCH 3180/25. The deponent lacking authority issue was abandoned. Let me also hasten to state that the prayer for payment of half of the costs paid by the applicant to the arbitrator is misguided as the duty of the court is to register the award and not invent new aspects. The applicant if it so wishes can pursue the costs separately. The only question to answer is whether or not the award should be registered. In terms of Article 35 (1) of the Arbitration Act an arbitral award becomes binding upon being granted and it becomes enforceable upon being registered by the High Court. The provision reads;

> "An arbitral award, irrespective of the country in which it was made, shall be recognized as binding and, upon application in writing to the High Court, shall be enforced subject to the provisions of this article and of article 36."

The respondent did not seriously challenge the registration of the award treating it rather as a formality. I do not perceive of any infringements to Article 36 that would militate against the registration of the award. I am however not inclined to award costs on a higher scale. I have already discounted payment of the arbitrator's

costs that the applicant seeks. Resultingly, the order sought is granted with amendments.

DISPOSITION

HCH3180/25

1. The application for setting aside of the arbitral award of the 4th of February 2025 be and is hereby dismissed with costs on the ordinary scale.

HCH 1789/25

1. The application for the registration of the arbitral award be and is hereby granted.
2. The award made by Virginia Mudimu N.O dated the 4th of February 2025 is registered as an order of this honourable court.
3. The respondent shall pay costs on the ordinary scale.

DUBE, MANIKAI, HWACHA –applicants' legal practitioners

LAWMAN LAW CHAMBERS, respondent's legal practitioners